BUSINESS MODEL TESTING



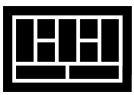
THE BUSINESS
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SUPER GUIDE:

BUSINESS MODEL TESTING

BY DANIEL PEREIRA



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INTRODUCTION

Most companies are able to develop their business models before their effective implementation, with great efficiency and precision. In general, that's because they apply methodologies and tools such as Business Model Canvas, Lean Canvas, or Value Proposition Canvas and are able to design the particularities of their businesses.

The problem of business modeling arises, in general, because many entrepreneurs "skip" the next step in the process. It is quite common that, after modeling, the business is created and implemented, without going through the testing stage before, thus losing a chance to evaluate, with their consumer audience, which solutions and ideas can work and which can fail.

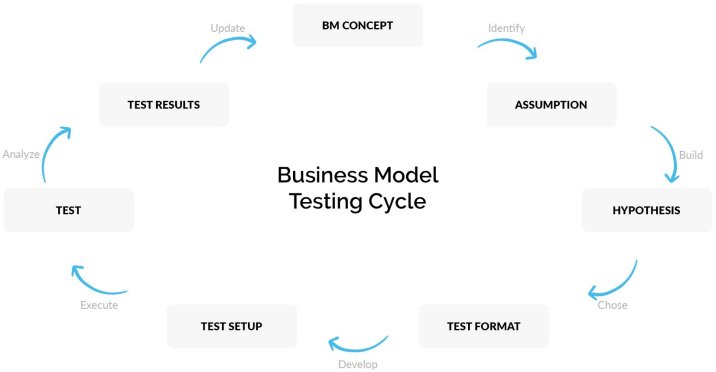
Quite often, this is because business owners believe that they found a perfect idea and kind of "fall in love" with it without questioning. Or they can go straight to the implementation in order to save time, capital, or resources.

But, at the end of the day, what happens is just the opposite: the lack of testing ends up becoming costly, and it consumes time, resources, and energy without reason.

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BUSINESS MODEL TESTING CYCLE

The solution to avoid this waste of time, money, resources and energy is precise to carry out the testing of the business model, in a continuous, and monitored manner, in order to guarantee feedback from customers, partners, users and any other stakeholders involved.



This way, you will get early feedback and will be able to improve the business model from the beginning and along the way, to assure its potential before bringing the final solution into the market, just hoping the customers will acquire it.

But how, then, should companies test their business models before launching them on the market? There are some methodologies and structures that you can choose from for testing. Here are some of them.

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HOW TO TEST YOUR BUSINESS MODEL IN 7 STEPS

1. Develop a Business Model Concept
To establish the concept of your business model, you may start by asking yourself some questions about the business: Who is your target customer?

- What are their needs?
- What value do you want to offer them?
- How are you going to deliver this value?
- Why will your business be profitable?

For you to be able to organize all of these ideas in an optimized way, it is highly recommended that you use the Business Model Canvas for design and documentation.

2. Identify the Underlying Assumptions
Next, it is important that you are able to separate what is actually real about your business and what are just beliefs that you or your team have included in the Business Model Canvas.

So, for those that are just assumptions, organize them in order of priority, that is, according to which ones can have the greatest impact on your business. Those of greatest impact and importance should be tested and validated first.

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3. Build Falsifiable Hypotheses
The best way to verify assumptions is to build hypotheses that are capable of falsifying them. To do so, you must build very specific hypotheses, which can be assessed together with a pre-established audience. The more specific the hypothesis, the easier it is to verify the results, confirming it or not.

4. Choose a Test Format
In order to actually test the hypotheses, you will need to choose a test format. There are some options available and it is important that you discuss the possibilities with your team, so you can find the best alternative, together, avoiding waste of money and time.

5. Develop the Test Setup
After choosing the kind of tests you are going to conduct, it is imperative that you make proper preparation for execution, which includes:

- Recruit the appropriate group (the right people in the right quantity);
- Create a test plan, with strict deadlines;
- Design the tools for your test;
- Decide who will be responsible for the execution;
- Execute the test;
- Collect feedback.

6. Execute the Test
It's time to run the test. Do it according to plan and pre-prepared deadlines. However, don't worry if something doesn't go exactly as you and your team imagined. On the contrary, understand that the tests serve precisely so that you

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have enough time to adapt to the changes, before launching the solution into the market. So, take the time to change and repeat the tests if necessary.

7. Analyze the Test Results and Update the Business Model Concept

Finally, you and your team will analyze the results and feedback collected. Then, you will compare the results and comments with the previous hypotheses, in order to decide which can be verified and which have to be falsified. With all the information in your hands, update your business model and restart the cycle.

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HOW TO BUILD HYPOTHESIS

All business modeling canvas are extremely efficient tools in the conceptualization of your company. However, it is important to note that everything we insert into the canvas is possibilities, assumptions and, therefore, must be verified before launching your product or service on the market.

To support or refute such assumptions, it is necessary for you to build hypotheses. So you need to go through some steps:

1. Identify the assumptions
First of all, it is necessary to separate which is fact from which is simply an assumption. Any information or data that you include for sure and real, and, later, you realize that it was just an assumption, can compromise the smooth running of your business.

To avoid unpleasant surprises, count on the help of your team. The more people who participate in the conceptualization of your business model, the greater the chance that you will identify together what are only possibilities and not facts.

2. Prioritize the assumptions
When the time comes for testing, in fact, you won't be able to verify all the hypotheses at the same time. So it is imperative that you are able to organize them, noting which ones are most critical or have the greatest impact on your business.

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In addition, some assumptions will be easier to test and, therefore, validate or disprove, than others. start by testing those that have a high impact and are easy to verify. Then, move on to the most critical ones, but difficult to test and, only then, to those that do not interfere much in the success of your business.

3. Build hypotheses

Having organized his assumptions in order of prioritization, the time has come to build the hypotheses to be confirmed or falsified. Building and testing hypotheses are basically done in three steps:

1. Choose the first assumption in order of importance;
2. Define the customer segment with whom this assumption needs to be tried;
3. Determine a metric for the hypothesis.

For example, if you created an app for physicians in your city, you can create a hypothesis that says that, for your business to be successful, you need 20% of doctors in town to be interested in downloading the app on their smartphones. Then, you move on to the experiment to check.

Finally, never forget that any alterations in your business demand new assumptions, new hypotheses, and new tests. The process never comes to an end.

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THE ITERATIVE TESTING PROCESS

The iterative testing process is also a cycle, and it starts by prototyping your ideas. From the initial ideas, you are going to develop some hypotheses about the business, to be verified or falsified.

Then, you will define which tests are going to be run in order to begin the learning loop: build (the prototype), measure (the results), and learn (on the testing). With the results and feedback in your hands, restart by building a new prototype.

To manage and track the activities taken you may use a Testing Board.

Testing Board
In the first column, you must include all the assumptions that need to be true for the solution to be feasible. You must order them, prioritizing the ones that have more impact on the business. Then, acknowledge the tests that are going to be planned, designed, and performed.

After running the tests, take notes of the data collected and, afterward, do an analysis of them. If your tests demonstrate that the ideas need alterations, pivot or iterate your prototype. Then, build other tests and learn information again, before making any decisions. Repeat the cycle as many times as needed.

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4 COMMON TESTS

There are also a series of four simple circumstances that can occur in your business, that may be tested and verified in order to better conceive your business model. They are:

1. Interview your customer
One of the first steps of the modeling canvas is to set the customer segments, by profiling the persona and potential audience. But just assuming along with your colleagues who your consumers are is not enough. How to know if you are right? The best way is actually to talk to your customer segments:

- Perform from 15 to 20 interviews;
- Interview in pairs - one person makes the questions and listens and the other only takes notes;
- Review the questions and answers after each interview, to adapt the questions accordingly each time;
- Don't ask what people want. Interview them in order to learn what they need;
- Don't make interpretations right away. Just write down the answers and analyze them later;
- After running the interviews, observe the patterns revealed.

2. Test your value proposition
After making sure about your customer segments, it is

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imperative to learn if your solution actually adds value to them. To test your value proposition, you may:

- First of all, develop your Value Proposition Canvas;
- Invest some money on ads and multiple channels to make sure that you are reaching your target audience (Google Display, Google Search, Facebook and Twitter Ads, etc.);
- When you identify your early adopters, take advantage by interviewing them;
- Don't develop isolated ads. Always test your scale by creating different versions to verify what works out better.
- Compare your results with your hypotheses in order to support or refute them.

3. Create a prototype

Now you probably know who your customers are and what they want or need from your business. However, before launching the final solution into the market, it is necessary to test it, in order to develop a customer experience. But how to do it without wasting capital?

- It is not possible to scale yet, so you are going to create a product or service manually - this is called a minimum viable product (MVP).
- Check how people interact with the product or service presented;
- Collect data and information on the interactions;
- Observe the behavior patterns;
- Don't offer more than you can deliver, or you won't be

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able to collect evidence.

4. Learn from every step
There is nothing such a “sequence” in business model testing. It is more like a cycle, as you have seen above. That said, you must aim to get feedback and data from every stage along the way.

- Conduct interviews over any experiment;
- Write down as many insights as possible;
- Create a minimum viable product, not a minimum version of your product. An MVP is a viable option that allows you to test your hypotheses;
- Take advantage of the customers you reach through any channel;
- Always track data in order to verify or refute the hypotheses;
- Remember that learning what hasn't worked is just as important as learning what has.

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HOW TO REDUCE THE RISK & UNCERTAINTY

As a new business owner and entrepreneur, the biggest challenge you are going to face is to reduce the risks involved in your venture, before it even gets to the market. The smaller the uncertainty, the less waste of time, money, and energy.

In any business, there are three major risky areas:

- Desirability: “Do my customers want this product/service?”
- Feasibility: “Can the product/service be built and implemented?”
- Viability: “Will this product/service make more money than the costs involved?”

Every area requires its own kind of experiment to test the uncertainty and the risks, so you will need to establish the right tools, processes, and metrics in order to do it successfully. For example:

- Desirability. You must test the assumptions around your customer’s problem (wishes, needs, pains, gains...), the value proposition developed, and the retention strategy for maintenance.
- Viability. You will run experiments that test all the financial aspects of the solution and its production,

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including revenue streams, pricing strategy, and the whole cost structure involved.

- Feasibility. You need to experiment with different resources and technologies available, as well as key activities and possible partners, to improve the chances of a sustainable business.

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USEFUL TOOLS FOR BUSINESS MODEL TESTING

As previously seen, after conceptualizing your business on the appropriate canvas, defining the assumptions, and building the hypotheses, it is necessary to proceed with the business model testing, as such.

There are different test formats and procedures, and some make more sense than others, according to the stage in the business development process or depending on the area and solution you are aiming to experiment with.

Here, there are some options for testing tools and processes.

TESTING CARDS

One of the most effective tools to help you out in business model testing is the set of testing cards. They are 22 cards with tests that can be carried out in order to validate every aspect of your business model.

On one side of the card, there is a short description of the test format and an example of it. On the other side, there is a “how-to” guide, to help you out over implementation. Take a look over the cards:

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1. **Problem-Solution Interview:** collects information on pains, wishes and needs of potential customers. Provide a solution at the end of the interview, and check feedback.

2. **Toy Prototype:** presents a solution in a very simple way, just to test usability and identify possible problems.

3. **Picnic in the Graveyard:** exams what went wrong in past versions, to avoid repeating the same mistakes.

4. **Contextual Inquiry:** makes customers discover some unidentified needs and problems that they didn't even know they had and, thus, could not be found in a regular interview.

5. **Survey:** offers quantitative data by asking some free-form and/or close-ended questions to your

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audience.

6. **Letter of Intent:** it is a document that states the features of your solution and a request for a promise to purchase in the future, in order to test the commitment of your customers.

7. **(Blog) Post:** uses online platforms and social media to cocreate and gather feedback from potential customers.

8. **Flyer:** contains a written representation of your product or service and tests the appeal of the offerings.

9. **Event:** potential users are invited to interact with the solution creators and test it in their early stages. It is useful to get face-to-face feedback.

10. **Online Advertising:** a quick and cheap way to test the appeal of your value proposition, by selecting your target audience.

11. **Piecemeal:** a demo is built with bits and pieces from different sources, just to test appealing without creating a whole new solution from scratch.

12. **Prototype:** an early form of a product to test some particular features before it is fully developed.

13. **Landing Page:** a simple version of a website just to present the solution online, with an attractive call to action, where the users usually register to receive further information.

14. **Explainer Video:** explains the customer journey visually and tests potential for viral scaling.

15. **Pre-Order:** buyers commit themselves to acquire the

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solution as soon as it is ready, through your own website or some crowdfunding platform.

16. **Wizard of Oz:** tests the interest in a solution before making large investments. The customers perceive the service as automated, but it is being manually executed, just mimicking the real future service.

17. **Concierge Test:** in this case, the audience knows they are receiving a manual service, simply to offer feedback on the solution. It can only be used for a small group of potential customers.

18. **Pop-Up Store:** physical and temporary point of sales to test the attractiveness of an idea before launching it on the market.

19. **Price Calculator:** establishes a price based on some parameters, such as usage time, numbers of users, features, or quality, to help to test the interest in a solution as well as its pricing model.

20. **Conjoint Analysis:** presents different offer bundles to customers who then must decide which offer they prefer.

21. **Price Sensitivity Meter:** asks customers which price an offer is considered to be a bargain, getting expensive, too expensive, or too cheap. It helps define the final price.

22. **A/B Testing:** compares different versions of the same solution to test which one works best.

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TESTING TABLE

The testing table is divided into two sections: one for you to develop the hypotheses, and another for the business model testing itself.

In the first part, of the hypotheses, you can include the assumptions (in order of priority), the target group for which this assumption is intended and who, therefore, will be tested and, finally, the metrics necessary for validation.

In the second part, of the experiments themselves, you will complete all the necessary information for monitoring the testing.

Starting with the type of test that will be carried out (you may choose one out of the 22 testing card options). Next, in the Recruiting section, you must inform what type of audience you will be targeting, how many people will be needed to sample, and how you intend to reach them. Finally, specify a deadline for closing the tests and who will be responsible for running the whole process.

Testing Table

HYPOTHESIS	**ASSUMPTION** Place your most critical assumptions here	People in rural areas are interested in a d2d ridesharing service				
	TARGET GROUP Define the user group that you will test your hypothesis with	Train commuters who drive to the station by car or publich transport				
	METRICS Specify the minimum baseline for your test to be successful (We are right if...)	20%e of commuters asked				
EXPERIMENT	**TEST** Use the testing cards to choose the best test case to validate your hypothesis	Flyer				
	RECRUITING Specify the size of your test group and how you want to reach out to them	Min 50 people; hand out flyers to people getting thore car from the parking space				
	DEADLINE Specify until when you plan to execute the test	4 April				
	RESPONSIBILITY Allocate a person responsible for executing the experiment	Tom with help from Marion				

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DISCOVERY PLAN

After deciding which test models will be applied, by whom and how much time you have to complete them, it is imperative that you and your team put together a detailed business model testing plan so that you are able to monitor the schedule and the resources spent.

Having the estimated amount of time and resources is the way to make things happen smoothly. For that, it is essential to document your results, by deciding what you are going to do each week until you finish your experiment.

The execution, then, must be followed according to what you inserted in your Discovery Plan. Of course, sometimes, real things can go differently than expected. In that case, you will review your progress and make some changes if necessary.

Sometimes the recruitment is failing or the person responsible for the execution is not doing it properly. In examples like those, you might need to start over, otherwise, you will just spend resources by finishing a flawed test.

And never forget: possibly the most important part of business model testing is getting feedback. Often, people worry so much about having a clear testing strategy that they forget the essential is the content of the feedback. Any experiment without it is meaningless.

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PROGRESS BOARD

Finally, it is important for you to monitor and register the whole progress of your business model testing - and the best tool for that is the Progress Board. You may use it to compare with your Discovery Plan to check if everything is going as planned.

The progress board will include all the key assumptions that need to be true for your idea to work out. They must be organized according to their priorities regarding your business - the most critical ones first.

Then, insert the tests that will be planned, designed, or built, as well as which ones are in execution and collecting data. After they are taken, you will analyze all the information gathered and the feedback received. If needed, you will iterate or pivot your idea and, after that, design new tests to validate the new hypotheses.

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ASSESS THE QUALITY OF YOUR BUSINESS MODEL

Every entrepreneur knows that a good idea is no guarantee of success. For a business to prosper, a lot of planning and monitoring of all actions is necessary before, during, and after the implementation of the enterprise.

For that, there are some questions that the businessperson can ask themselves and their colleagues, in order to evaluate and determine the quality of their venture. Some of them are:

- What tool or method can I use to evaluate if this business model is the right choice for my company?
- What tool or method can I use to analyze and monitor my business on a regular basis?
- What plan do I need to follow to ensure continuous improvement in my business?
- Which tools and metrics must I apply to assess my business?

By assessing their businesses on a periodic basis, managers and entrepreneurs will increase their chances of having a successful business model, due to the capability of:

- Learning their strengths and weaknesses
- Evaluating their team's performance

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- Defining smart goals
- Delegating decision-making to the right people in the team
- Sustaining their market share
- Increasing their cash flow

Dealing with unforeseen situations and obstacles whenever they come up.

It is worth remembering that you must analyze your business model regularly, to ensure that it is still aligned to market forces. This may lead to small adjustments or even some great alterations. Moreover, the applicable tools must be adaptable to a variety of different business models for them to prove useful.

There are different techniques and tools that can be applied in order to assess your business model's quality. Let's take a look at some.

BUSINESS MODEL CANVAS & SWOT

Alexander Osterwalder and Pigneur, the creators of the Business Model Canvas, propose that a good method of evaluating your business is to evaluate your business model using the SWOT tool.

At first, the SWOT matrix must be used to evaluate the entire Business Model Canvas, as a whole. Then, as a way of double evaluating, one can proceed to the application of SWOT for each of the nine building blocks of Canvas.

This will result in a much more detailed questioning and evaluation of the concepts involved in your business model,

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in order to avoid unnecessary investments of time or resources.

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EVALUATION CRITERIA

Morris, Schindehutte, Richardson, and Allen are authors that heavily study business modeling. Thus, they also defend the necessity of evaluating your business model before actually implementing it. For that to work out, they all establish the same concept for the term “business model”, which is:

“USED TO DESCRIBE A COMPANY’S UNIQUE VALUE PROPOSITION (THE BUSINESS CONCEPT), HOW THE FIRM USES ITS SUSTAINABLE COMPETITIVE ADVANTAGE TO PERFORM BETTER THAN ITS RIVALS OVER TIME (STRATEGY), AND WHETHER, AS WELL AS HOW THE FIRM CAN MAKE MONEY NOW AND IN THE FUTURE (REVENUE MODEL) (MORRIS, SCHINDEHUTTE, RICHARDSON AND ALLEN, 2006, P. 28).”

They state that there are some special competencies to be evaluated:

- The essential measure for evaluating your business model lies in your competitive advantage.
- They also consider it of great importance to assess your partner’s network, due to their power of developing strategic alliances, trade associations, or

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an outstanding group of suppliers, for example.

- One must never forget the relevance of customer segments and value propositions. They are the key to your business: knowing who you are selling to and what indeed represents value for them.
- The next step to be assessed is the processes that keep the company running, such as internal rules and supply chain management.
- The following element is the total amount of costs involved, from the conception of the idea to the hands of the end consumer.
- And finally the marketing strategy, with their plans, priorities, revenue, and pricing strategies.

THE NICE FRAMEWORK

Amit and Zott are other scholars who have also developed some criteria to be analyzed in order to evaluate one's business model. They were first designed for e-businesses but can be applied to brick-and-mortars. The criteria are four, and form the acronym NICE:

- Novelty: measures the company's ability to always bring something new or innovative, in order to make the consumer public perceive a new value proposal within that industry or market.
- Lock-in: also known as switching costs, it refers to the company's power to maintain customer loyalty and business partnerships. That is the reason why your customers and partners would not exchange this brand, product, or service for the competition.
- Complementarities: has to do with the company's

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ability to build complementary product lines, which make customers want to purchase new products in order to add value to their original purchase.

- Efficiency: means the ability to be financially efficient, in the sense that the more numerous the commercial transactions carried out, the less the individual cost involved in each one.

4 PERFORMANCE INDICATORS

Hamel proposes these four performance indicators in order to evaluate the nine building blocks of the Business Model Canvas. The four criteria are:

- Efficiency: unlike the previous Amit &Zott's criteria, efficiency here has to do with the ability to deliver the value proposition to the right customer segments.
- Uniqueness: shows how novel, innovative and distinct is the company's proposal.
- Fit: means that all the nine building blocks are tied up into each other, in a smooth and coordinated way.
- Profit Boosters: refers to how and how many "profit boosters" the business is able to employ in order to increase its returns past the industry average

6 QUESTIONS

Finally, there are other questions that any entrepreneur can ask themselves and their team to judge and assess their business model, to test it before launching the ideas and solutions into the market. Some examples include:

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1. How much do switching costs prevent your customers from churning?
Switching costs are about how much money, time, or effort is required for a customer to exchange a particular product, service, or brand for a similar competitor. The higher these costs, the less chance of churning.

2. How scalable is your business model?
The degree of scalability of a business depends on a company's ability to expand its business model without having to significantly increase its cost structure.

In general, the most scalable businesses are those digital, based on software or on the web, as the costs involved do not change much, whether we are talking about a thousand users or a million. Unlike what would happen with the production of a brick-and-mortar, for example.

3. Does your business model produce recurring revenues?
Recurring revenues are the revenues that your company receives regularly, unlike when a single sale happens, for example. It is quite common with software and services that use a subscription system so that the consumer remains with access to the product or service received.

There are two major advantages: the first is that, although the sale is recurrent, the costs involved happen only once, just as an individual sale. The product or service is ready, just kept available, like Netflix, for example.

The second one is the security of having an estimate of the income that will enter in the future since the trend of payments is to be maintained regularly.

4. Do you earn before you spend?
Simple as it sounds: it refers to how much your company plans to receive before spending on production. It is a very

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interesting capability for industries such as hardware, whose parts become obsolete very quickly and, therefore, it is uninteresting to maintain a very large inventory.

It is safer than the company is able to buy only the material that it will be pretty sure it will use. For example, assembling only purchase orders already placed.

5. How much do you get others to do the work?
It assesses how much the business benefits from other people's production. It is quite common on multisided platforms, where one side creates content that brings value to real customers. This is the case of Facebook, for example, whose users post photos and texts, attracting an

6. Does your business model provide built-in protection from competition?
It is not just switching costs that prevent your customer from migrating to the competition. If you can develop products, services and/or resources that are practically impossible to repeat, whether due to patent or technology issues, you are adding value to your offer, which your customer will not find in another brand, and that also prevents churning.

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CONCLUSION

Designing and developing a new business, as well as maintaining it running smoothly, is not a simple job.

However, you can reduce greatly the risks and the chances of problems if you plan your business model carefully, by, first, designing your business model canvas along with a good team and, second testing all the assumptions and hypotheses involved, before launching your idea into the market.

There are very good tools and techniques available to improve your business's performance. Don't neglect them and increase your chances of success!

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